



- the possibility of losing
- to avoid looking foolish
- unwillingness to take risks

All these reasons stem from our psychological and cognitive defects. The most acute of these are loss aversion and egocentric human nature. Along with that heuristics like regret avoidance and belief perseverance also play a significant role in our mental make-up.

Take the following illustration. You inherit from your rich uncle Rs. 50 lakh and you want to invest it. You buy stocks, bonds, fixed deposits, etc., according to your preference and needs. It is simple—you have the money and you allocate across assets. But if you were to inherit a portfolio of stocks amounting to Rs. 50 lakh, what would you do? You need to make multiple choices. You could sell the stocks in the portfolio and buy different stocks or some bonds, etc., or you could leave the portfolio as it is. Most people would choose to leave the portfolio as it is. They would choose to maintain the status quo. When there are multiple options one is more likely to delay an action or take no action at all. The greater the choice, the harder the decision.

This happens frequently in the fund management industry. A new fund manager takes charge of a mutual fund. The fund has fared well under the stewardship of the previous fund manager. The new fund manager has a difficult task on hand. He has multiple choices. He could leave the portfolio as it is for the first month, or revamp the portfolio with stocks of his own choosing, or change the weightage of the portfolio, or give it an aggressive touch, or adopt any other option. In most cases the fund manager would adopt the first option. But since his job is to act decisively he should realise that his performance will be judged from the day of joining and inheriting the fund. However he could also fall into the trap of benchmarking his performance to that of his predecessor and thus fall prey to decision paralysis and status quo bias.